FIELD PRIMER · AUGUST 2026

Agentic Commerce

The protocols, the payments rails, the economics, and the uncomfortable evidence — structured with Jim Kwik's learning method so it actually sticks.

Prepared for Brandon

Research current through 25 August 2026

Read time: ~55 min · Retention plan: 3 passes over 21 days

Contents

CONFIDENCE KEY — READ THIS BEFORE YOU QUOTE ANYTHING

Half of what's published about agentic commerce is vendor marketing wearing a research costume. Every claim in this document is tagged:

VERIFIED primary source (spec, court docket, company blog, earnings) **REPORTED** credible press/analyst, single source
SOFT vendor content, directionally useful, don't cite it in a board deck

00 How to use this document

Kwik's core claim: you don't have a bad brain, you have a bad method. His formula is **Limitless = Mindset × Motivation × Method**. This document supplies the method. The other two are on you — but the structure below makes them cheap.

The FASTER pass structure

STEP	KWIK'S PRINCIPLE	WHAT YOU ACTUALLY DO HERE
Forget	Empty the cup. Prior knowledge blocks new encoding.	Assume your model of "AI shopping" is wrong. It probably is — the biggest player *retreated* in March 2026. Start from §12 if you need proof.
Act	Learning is not a spectator sport.	Don't read passively. Answer the drill question at the end of each section out loud before moving on.
State	All learning is state-dependent.	Read this standing up or walking. Two 25-min blocks beat one 55-min block (primacy/recency: more beginnings and endings = more retention).
Teach	When you teach, you learn twice.	§16 has a 5-minute teach-back script. Deliver it to one real person inside 48 hours.
Enter	Schedule it or it doesn't exist.	Put the three review blocks in your calendar now: +1 day, +7 days, +21 days.
Review	Spaced repetition beats massed repetition.	§16 drills are built for exactly those three intervals.

The three passes

1. **Pass 1 — Skeleton (12 min).** Read only §01, §02, and §12. You will be able to hold a credible conversation after this alone.
2. **Pass 2 — Structure (40 min).** Read §03–§11. This is where the technical and commercial detail lives.
3. **Pass 3 — Retrieval (15 min × 3, spaced).** Close the document. Do §16 from memory. Only reopen to check.

> **KWIK'S "DOMINANT QUESTION" — ADOPT THIS ONE**
>
> Your brain deletes everything that doesn't serve your dominant question. So set it deliberately. For this field, the question that organises everything is: "**Who captures the margin when the buyer is a machine?**" Hold that question and every protocol announcement, fee change, and lawsuit in this document snaps into place as a move in one game.

Two memory tools you'll need

Chunking. There are ~8 protocols with acronym names. Nobody remembers 8 flat items. You'll remember 3 buckets of 2–3. §05–§07 are built as those buckets: *substrate*, *commerce*, *payment&trust*.

Elaboration over rote (Kwik's MOM: Motivation, Observation, Methods). Don't memorise "AP2 = Agent Payments Protocol." Memorise the *image*: a notary stamping three documents (intent → cart → payment) before money moves. The image survives; the acronym doesn't.

01 The whole field in 60 seconds

If you read nothing else, read this page.

Agentic commerce is commerce where the buyer-side actor is software. A user states a goal ("trail running shoes, under $150, here by Friday"), and an AI agent handles some or all of discovery, comparison, cart construction, checkout, and post-purchase service.

Every layer of the existing e-commerce stack assumed a human with eyes, a cursor, a cookie, and a credit card in hand. Agents break all four assumptions simultaneously. That breakage is the entire industry.

THE SEVEN THINGS THAT ARE ACTUALLY TRUE IN AUGUST 2026

1. **Discovery is real and large. Autonomous buying is not.** AI-referred traffic to US retailers grew **393% YoY in Q1 2026** REPORTED and now converts *better* than conventional traffic. But only ~**12%** of consumers will let an agent complete payment without them REPORTED. The money today is in *agent-influenced* commerce, not agent-executed commerce.
2. **The market leader publicly retreated.** OpenAI launched Instant Checkout (Sept 2025), announced a 4% merchant fee (Jan 2026), then **pulled buy-in-chat in March 2026** after fewer than 15 Shopify merchants went live and Walmart measured in-chat checkout converting **~3× worse** than click-out to walmart.com REPORTED. The strategy is now "**discover in the AI, transact on the merchant.**"
3. **Google and Shopify won the standards fight — via governance, not volume.** The **Universal Commerce Protocol (UCP)** launched at NRF on 11 Jan 2026. On **24 April 2026**, Amazon, Meta, Microsoft, Salesforce *and Stripe* joined its Tech Council alongside Google, Shopify, Etsy, Target and Wayfair VERIFIED. When your rival's co-author joins your governance body, the fight is over.
4. **Payments got solved before demand arrived.** Visa, Mastercard, Amex, Stripe, PayPal and Coinbase have all shipped agent-payment rails: scoped tokens, cryptographic mandates, signed agent identity. The rails are ahead of the traffic.
5. **Identity is the real technical battleground.** "Is this agent who it claims to be, and did a human actually authorise this?" is answered by HTTP message signatures (RFC 9421 / Web Bot Auth) and signed mandates — not by cookies or CAPTCHAs.
6. **The law arrived early and it has teeth.** Amazon won a preliminary injunction against Perplexity's Comet agent on **10 March 2026** under the CFAA VERIFIED. Undisclosed agents impersonating browsers are now a legal liability, not a growth hack.
7. **Liability is unresolved and defaults to the merchant.** No US federal framework governs agent-initiated purchases. The CFPB's Jan 2026 Reg Z advisory held that consumer dispute rights *survive* delegation to an agent REPORTED. Merchants eat the chargebacks by default.

The one-sentence version

> The infrastructure for machine buyers is now largely built and mostly free; the scarce assets are **consumer trust**, **the customer relationship**, and **the right to be recommended** — and that is what everyone is actually fighting over.

> **DRILL:** Say out loud, in one sentence, why "AI traffic converts better than Google traffic" and "agentic commerce is overhyped" are *both* true. (Answer: they describe different stages — influence vs. execution.)

02 The core mental model

Everything — every protocol, every startup, every lawsuit — is an answer to one of five questions. Learn the five questions and you never need to memorise a vendor list again.

```
┌──────────┐   ┌──────────┐   ┌──────────┐   ┌──────────┐   ┌──────────┐
│ 1. FIND  │ → │ 2. INTENT│ → │ 3. TRUST │ → │ 4. PAY   │ → │ 5. FIX   │
│ discovery│   │ authority│   │ identity │   │  rails   │   │ recourse │
└──────────┘   └──────────┘   └──────────┘   └──────────┘   └──────────┘

 feeds, GEO     mandates,      agent auth,    tokens,        disputes,
 catalogs,      spend caps,    bot detect,    SPT, x402,     returns,
 AEO/ACO        HITL gates     RFC 9421       networks       liability
```

Question 1 — FIND: How does an agent know your product exists?

Agents don't browse; they read. They consume structured feeds (Google Merchant Center is now the primary product-data source for both Gemini *and* ChatGPT REPORTED), schema.org markup, GS1 identifiers, and increasingly merchant-run MCP servers. If your data is incomplete, stale, or only exists as rendered HTML, you are invisible.

Discipline that owns this: Agentic Commerce Optimization (ACO) / AEO / GEO. §11.

Question 2 — INTENT: What did the human actually authorise?

This is the genuinely new problem. A human at checkout *is* the authorisation. An agent needs a portable, provable artefact of delegated authority: what may be bought, up to what price, from whom, until when, and revocable how. Google's AP2 answers this with cryptographically signed **mandates**; UCP with **assisted vs. delegated** commerce modes.

Key distinction to burn in: human-present (user reviews and approves the exact cart) vs. **human-not-present** (user pre-authorised rules; agent executes later — e.g. "buy the tickets the second they drop, under $400"). Almost all real volume today is human-present.

Question 3 — TRUST: Is this agent legitimate?

A merchant receiving an HTTP request needs to distinguish: a real customer's agent, a competitor's scraper, and a fraud bot. The answer is cryptographic, not behavioural: the agent signs its request headers with a private key; the merchant verifies against a directory of known agent public keys. That's **Web Bot Auth + RFC 9421 HTTP Message Signatures**, productised as **Visa Trusted Agent Protocol** and deployed at edge scale by Cloudflare.

The counter-example that defines the norm: Perplexity's Comet disguised itself as ordinary Chrome to get past Amazon's blocks. Amazon sued and won an injunction. Disclosure is now the price of admission.

Question 4 — PAY: How does money move without exposing a card?

Nobody wants an LLM holding a PAN. Every rail converges on the same shape: a **scoped, short-lived, single-use credential** that is bound to one merchant, one amount, and one time window. Stripe calls it a **Shared Payment Token**; Mastercard calls it an **Agentic Token**; Visa calls it a tokenized credential with scoped permissions; the crypto lane calls it an x402 stablecoin payment. Different words, same primitive.

Question 5 — FIX: When it goes wrong, who pays?

An agent buys the wrong size, the wrong quantity, or falls for a prompt injection. Existing dispute frameworks assume a human decided. They don't have a field for "delegated authority exercised at T+6 days within pre-set parameters." Until the networks write those rules, the merchant absorbs it.

HOW TO USE THIS MODEL IN THE WILD

Next time you see an agentic commerce announcement, ask only: *which of the five does this address, and does it replace or complement what already exists?* Roughly 80% of announcements are Q1 (discovery) or Q3 (trust) — because Q2 and Q5 require someone to accept liability, and nobody wants to.

> **DRILL:** Assign each to a question number: Visa TAP · Google Merchant Center feed · AP2 Cart Mandate · Stripe Shared Payment Token · CFPB Reg Z advisory. (3 · 1 · 2 · 4 · 5)

03 Timeline: how we got here

Kwik principle: *narrative beats lists*. Twelve dates, one story arc — land grab, collision, retreat, consolidation.

DATE	EVENT	WHY IT MATTERED
Nov 2024–Jan 2025	Anthropic releases **MCP**; industry adopts it broadly	Gave agents a standard way to call external tools. Everything commerce-related is built on top of this or A2A.
29 Apr 2025	**Mastercard Agent Pay** announced	First card network to define agent-scoped tokens (Agentic Tokens on MDES). Networks moved before the platforms did.
2025	**Visa Intelligent Commerce**; Google's **A2A** matures	Visa positions as the authenticate/authorize/tokenize layer for agent payments.
16 Sep 2025	**Google announces AP2** with 60+ partners	Introduced the *mandate* as the unit of provable delegated authority. Conceptual high-water mark of the field.
29 Sep 2025	**OpenAI + Stripe launch ACP** and ChatGPT Instant Checkout (Etsy first)	Buy-inside-the-chat becomes real. Apache 2.0, date-versioned spec. Everyone panics.
14 Oct 2025	**Visa TAP** with Cloudflare + 12 partners	Standardised cryptographic agent identity on RFC 9421 / Web Bot Auth.
4 Nov 2025	**Amazon sues Perplexity** (N.D. Cal.)	Reframes agent access as a legal question, not a technical one.
Nov–Dec 2025	Holiday: AI traffic +693% YoY; Salesforce estimates AI *influenced* >20% of global online retail sales	Proved the discovery thesis at scale. Note the word *influenced*.
8–11 Jan 2026	**Microsoft Copilot Checkout** (8th); **Google + Shopify launch UCP** at NRF (11th)	Two credible challengers in four days. Microsoft leans on merchant *consent*; Google leans on *coalition*.
Late Jan 2026	OpenAI's **4% fee** on ChatGPT checkout takes effect for Shopify merchants	Put a price on the new channel — while Google and Microsoft charged nothing.
10 Mar 2026	**Amazon wins preliminary injunction** vs. Perplexity (CFAA + CDAFA)	Undisclosed agent access is now legally hazardous in the US.
Mar 2026	**OpenAI retires Instant Checkout**; pivots to discovery + Apps	The pivot that reset the whole field's expectations. See §12.
Apr 2026	UCP **v0.2.0** adds Human-Not-Present; **24 Apr**: Amazon, Meta, Microsoft, Salesforce, **Stripe** join UCP Tech Council	Consolidation. Ten-member governance body spanning search, marketplaces, social, enterprise, payments, retail.
May–Jun 2026	Google I/O: **Universal Cart** across Search, Gemini, YouTube, Gmail. Adyen ships "Adyen Agentic." Adobe launches Brand Visibility.	Multi-retailer cart + BNPL in Google Pay. Tooling layer matures.

THE ARC IN FOUR WORDS

> **Land grab** (Sep 2025) → **Collision** (Jan 2026) → **Retreat** (Mar 2026) → **Consolidation** (Apr–Aug 2026). We are in consolidation: one dominant governance coalition, a smaller specialised rival spec, and a market that has quietly lowered its ambitions from "agents buy things" to "agents recommend things."

04 The seven-layer stack

This is the map. Every company in the space sits on exactly one or two of these layers. Memorise the layer names; the company lists churn.

#	LAYER	WHAT IT DOES	WHO'S THERE
7	**Trust & Security**	Distinguish legitimate agents from scrapers and fraud bots at the edge	Cloudflare, Akamai, HUMAN Security, DataDome, Kasada, Forter, Riskified
6	**Merchant Enablement & Discovery**	Make catalogs machine-readable; syndicate feeds; expose agent-facing APIs	Shopify, commercetools, BigCommerce, Salsify, Akeneo, Syndigo, Productsup
5	**Checkout Execution**	Actually complete a purchase on merchants that have *not* adopted a protocol — i.e. browser automation	Rye, Induced AI, Henry Labs, Zinc, Channel3 — thin, and the hardest layer
4	**Card Issuance**	Mint programmable virtual cards, scoped per-agent / per-merchant / per-session	Lithic, Stripe Issuing, Marqeta, Highnote, Ramp, Brex
3	**Payments & Identity**	Authorise, tokenize, verify who's transacting	Visa, Mastercard, Amex, Stripe, PayPal, Adyen, Coinbase; startups: Basis Theory, Skyfire, Nekuda
2	**Protocols & Standards**	The shared language between agent and merchant	UCP, ACP, AP2, MCP, A2A, Visa TAP, x402
1	**AI Platforms & Agent Surfaces**	Where the shopping journey originates; they choose the protocols and gate the merchants	OpenAI, Google, Anthropic, Microsoft, Meta, Perplexity, Amazon (Rufus)

Taxonomy per the widely-cited 7-layer framing SOFT ; company placements cross-checked against primary announcements.

WHERE THE POWER ACTUALLY SITS

Layer 1 has all the leverage. The agent surface decides which protocol to speak, which merchants are eligible, and how results are ranked. Layers 2–7 are suppliers to Layer 1. This is why the whole industry moved when one Layer-1 player (OpenAI) changed its mind in March 2026.

Layer 5 is the honest signal. If protocols worked, you wouldn't need browser-automation companies to fake being a human at checkout. That Layer 5 still exists — and is described as a "white space" with immature technology — tells you protocol coverage is far thinner than the press releases suggest.

Follow the money at Layer 3

Basis Theory ($33M Series B, Oct 2025, Costanoa), Skyfire ($9.5M, incl. a16z CSX and Coinbase Ventures), Nekuda ($5M seed, May 2025, Madrona, with Amex Ventures and Visa Ventures participating) REPORTED. Note who's on those cap tables: the card networks are buying optionality in the startups that might disintermediate them.

> **DRILL:** Name the seven layers bottom-to-top without looking. Then name the layer with the most pricing power and the layer whose existence proves the protocols aren't working yet.

05 Protocols, part 1: the substrate

Chunk 1 of 3. These two aren't commerce protocols — they're the plumbing every commerce protocol runs on. Get these right and the rest is easy.

MCP — Model Context Protocol LIVE, UBIQUITOUS

Author: Anthropic (open standard, broad adoption). **Answers:** "How does a model call a tool?"

MCP standardises the connection between an AI application and external tools/data. A server exposes *tools* (callable functions), *resources* (readable data), and *prompts*; a client (the AI app) discovers and invokes them. In commerce terms, a merchant can run an MCP server exposing `search_products`, `get_inventory`, `create_cart` — and any MCP-capable agent can use it.

Why it matters commercially: MCP is the lowest-friction way for a merchant to become agent-addressable without adopting a full commerce protocol. It is also the transport that UCP can run over. **Mental hook:** *MCP is USB-C for tools.*

A2A — Agent2Agent LIVE

Author: Google (donated to open governance). **Answers:** "How do two independent agents talk to each other?"

Where MCP is agent→tool (vertical), A2A is agent→agent (horizontal). Agents publish an "agent card" describing their capabilities, then negotiate and delegate tasks. This is what makes merchant-side agents possible: your buying agent negotiates with Nike's selling agent.

Why it matters: the multi-agent scenarios everyone demos — "book a flight, hotel and car within $700 as an atomic transaction" — require A2A. AP2 is formally an *extension* of A2A and MCP.

THE DISTINCTION PEOPLE GET WRONG IN MEETINGS

	MCP	A2A
Shape	Vertical: model → tool	Horizontal: agent → agent
Metaphor	USB-C port	Two diplomats with translators
Commerce use	Merchant exposes catalog/cart as callable tools	Buyer agent negotiates a bundle with a merchant agent
Handles money?	No	No — that's AP2's job

> **DRILL:** A merchant wants ChatGPT to be able to check their live inventory. MCP or A2A? (MCP.) A travel agent needs to assemble one atomic booking across an airline agent and a hotel agent. (A2A, with AP2 for the money.)

06 Protocols, part 2: commerce

Chunk 2 of 3. The two rival commerce standards. This is the section that most determines whether you sound informed or not.

ACP — Agentic Commerce Protocol LIVE, NARROWED SCOPE

Authors: OpenAI + Stripe (Stripe's docs now list **Meta** as a co-author too). Launched **29 Sep 2025**. Apache 2.0. Date-based versioning; latest stable snapshot **2026-04-17**.

ARCHITECTURE

ACP is deliberately narrow: it standardises *the transaction path*. Two OpenAPI specs sit at its core:

- **Agentic Checkout API** — create, update, and complete checkout sessions; cart management, fulfillment options, totals.
- **Delegate Payment API** — securely pass payment credentials from buyer to merchant *through* the agent, without the agent ever holding card data.

Around those: a **product feed** spec, **delegated authentication** (OAuth 2.0, so an agent can act as the buyer with a merchant account), and **orders + webhooks** for confirmation, shipping, delivery and refund lifecycle events. The **2026-01-30** release added a Payment Handlers Framework, Capability Negotiation, and an Extensions Framework — all three are structural borrowings from UCP's design, which tells you which way influence was flowing.

```
ACP checkout flow (simplified)

  Buyer ──▶ Agent ──▶ Merchant           Buyer ──▶ PSP
    "buy these"       POST /checkout_sessions        issues Shared Payment
                      → totals, tax, shipping        Token (SPT)
                      POST /checkout_sessions/{id}
                      → update address / fulfillment
                                   ▼
  Agent passes SPT ──────────▶ POST .../complete
                                   ▼
  Merchant charges via its own PSP; remains merchant of record
                                   ▼
  Webhooks ──▶ order confirmed → shipped → delivered → refunded
```

THE SHARED PAYMENT TOKEN — THE SINGLE MOST IMPORTANT PRIMITIVE IN ACP

Three properties, and they generalise to every rail in this document:

- **Single-seller scope** — a token issued for Merchant A cannot be replayed at Merchant B.
- **Single-amount scope** — the cap is fixed at issuance and cannot grow.
- **Short expiry** — minutes, not hours.

Critically: the **merchant stays merchant of record**. The agent never becomes the seller. This is why ACP was palatable to merchants at all.

STATUS, HONESTLY

ACP still ships and Stripe still develops it — Salesforce announced ACP support with Stripe in 2026. But its flagship deployment (ChatGPT buy-in-chat) was retired in March 2026, and Stripe joined the rival protocol's governance body in April. Read ACP today as **a well-designed transaction spec looking for a surface**, not as the industry default.

UCP — Universal Commerce Protocol LIVE, ASCENDANT

Authors: Google + Shopify, launched at NRF **11 Jan 2026**, Apache 2.0. Tech Council of ten as of 24 Apr 2026: Google, Shopify, Etsy, Target, Wayfair + Amazon, Meta, Microsoft, Salesforce, Stripe.

ARCHITECTURE — WHY IT'S STRUCTURALLY DIFFERENT

ACP asks: *can this agent complete a checkout?* UCP asks: *what commerce interactions can this agent and this merchant safely perform together?* That reframing produces a **negotiation protocol**, not a transaction script:

- **Layered:** a *shopping service* defines primitives (checkout sessions, line items, totals); *capabilities* are major functional areas (Checkout, Orders, Catalog) that version **independently**; *extensions* compose domain-specific schemas on top.
- **Discovery & negotiation:** merchants and agents each publish a capability profile at a standard endpoint. Discovery = fetching profiles. Negotiation = computing their intersection. You only transact on what both sides support.
- **Reverse-domain naming** (e.g. `com.loyaltyprovider.points`) lets anyone register a capability without a central committee. This is the quiet masterstroke — it makes the ecosystem extensible without Google as gatekeeper.
- **Multiple transports:** REST, MCP, or A2A.
- **Two commerce modes:** *assisted* (human reviews) and *delegated* (cryptographic authorisation via AP2).
- **Checkout state machine:** `incomplete → requires_escalation → ready_for_complete`. The `requires_escalation` state is the honest one — it admits agents will get stuck.
- **Embedded Checkout Protocol (ECP):** JSON-RPC 2.0 handoff for when the agent *can't* finish autonomously and a human must step in. Full lifecycle coverage: discovery → cart → checkout → post-purchase → loyalty.
- **Two-sided payment negotiation:** merchant PSP preferences matched against agent-held credentials.

WHAT SHIPPED ON TOP OF IT

v0.2.0 (April 2026) added Human-Not-Present payments — agents buying autonomously when pre-set conditions are met (limited-release tickets, restocks). **Universal Cart** (Google I/O, May 2026) is the consumer face: one cart spanning multiple retailers across Search, Gemini, YouTube and Gmail, with background deal-hunting, live inventory refresh, incompatibility flags, and automatic loyalty discounts. Launch retailers include Nike, Sephora, Target, Ulta, Walmart, Wayfair, plus Shopify merchants like Fenty and Steve Madden. Expanding to Canada and Australia, then the UK; verticals extending to hotels and local food delivery. Affirm/Klarna BNPL sits inside Google Pay.

ACP vs. UCP — the comparison table

	ACP	UCP
Authors	OpenAI, Stripe, Meta	Google, Shopify + 8-member Tech Council
Launched	29 Sep 2025	11 Jan 2026
Design goal	Complete a checkout inside the agent surface	Negotiate any commerce interaction across the full lifecycle
Scope	Feed, checkout session, delegated payment, orders/webhooks	Discovery, catalog, cart, checkout, post-purchase, loyalty, fulfillment
Extensibility	Extensions Framework (added Jan 2026)	Independently versioned capabilities + reverse-domain registration
Transports	REST/HTTP	REST, MCP, or A2A
Human escalation	Not a first-class concept	First-class: `requires_escalation` state + ECP handoff
Autonomy model	Human-present	Assisted *and* delegated (via AP2)
Flagship surface	ChatGPT Instant Checkout — **retired Mar 2026**	Google AI Mode, Gemini, Universal Cart, Copilot Checkout
Merchant cost	OpenAI charged 4% on Shopify checkout sales (from late Jan 2026)	No additional platform fee on Google/Microsoft surfaces — *for now*
Governance	Maintained by its authors	Ten-member Tech Council

THE STRATEGIC READ — SAY THIS AND YOU'LL SOUND LIKE YOU'VE BEEN IN THE ROOM

UCP won **the governance layer**, which is more durable than early transaction volume. Once Amazon, Meta, Microsoft and Stripe sit on your Tech Council, your spec is the default and everyone else is writing an adapter.

But note what Stripe did: it joined UCP's council *without* abandoning ACP. That is classic infrastructure behaviour — be neutral, be everywhere, tax the flow regardless of who wins. Merchants are increasingly running **dual-protocol** strategies for the same reason. Expect eventual convergence, most likely with both riding on MCP as transport.

> **DRILL:** In one sentence each: what does ACP standardise, what does UCP standardise, and what single design decision best explains why UCP attracted a coalition? (Independently versioned capabilities + decentralised reverse-domain registration = extend it without asking Google's permission.)

07 Protocols, part 3: payment & trust

Chunk 3 of 3. These answer Q2 (intent), Q3 (trust) and Q4 (pay). They are *complementary* to ACP/UCP, not competitive with them — a point almost every article gets wrong.

AP2 — Agent Payments Protocol LIVE

Author: Google, announced **16 Sep 2025** with 60+ partners. Extends A2A and MCP. Payment-method agnostic: cards, bank transfer, stablecoins, RTP.

THE MANDATE CHAIN — THE IDEA WORTH STEALING

AP2's contribution is conceptual, not plumbing. It says: **authorisation must be a signed, portable, verifiable artefact**. Three of them, chained, each a Verifiable Credential (VC):

```
┌──────────────────────────────────────────────────────────────┐
│ ① INTENT MANDATE      signed by user                          │
│   "White running shoes, ≤ $150, arrive by Friday"            │
│   → proves the user delegated THIS authority                 │
└──────────────────────────────────────────────────────────────┘
                            │
                            ▼
┌──────────────────────────────────────────────────────────────┐
│ ② CART MANDATE        signed at cart-lock                     │
│   exact SKUs · exact price · exact merchant · timestamp      │
│   → prevents substitution and price manipulation             │
└──────────────────────────────────────────────────────────────┘
                            │
                            ▼
┌──────────────────────────────────────────────────────────────┐
│ ③ PAYMENT MANDATE     the credential the NETWORK sees         │
│   binds payment method to Cart Mandate ②                      │
│   → issuer/network can price risk with real evidence         │
└──────────────────────────────────────────────────────────────┘
                            │
                            ▼
             NON-REPUDIABLE AUDIT TRAIL
  Authorization? ✓   Authenticity? ✓   Accountability? ✓
```

HUMAN-PRESENT VS. HUMAN-NOT-PRESENT

- **Human-present:** user signs the Cart Mandate *after* reviewing the actual cart. Highest trust, lowest autonomy. This is ~all real volume today.
- **Human-not-present:** user signs a detailed Intent Mandate *upfront* with rules — price ceiling, timing, conditions. Agent monitors, and when conditions are met it generates the Cart Mandate itself under that pre-authorisation. This is the genuinely new capability, and the genuinely new risk surface.

WHY THE NETWORKS LOVE IT

A signed mandate chain converts "an AI bought something" from an unpriceable risk into an underwritable one. That's why Mastercard, Amex, Visa, JCB, UnionPay, PayPal, Revolut, Adyen, Checkout.com, Worldpay, Stripe, plus Salesforce, ServiceNow, Intuit, SAP, Adobe, Okta, 1Password, Coinbase, MetaMask and the Ethereum Foundation all signed up.

Visa TAP — Trusted Agent Protocol LIVE

Authors: Visa + Cloudflare, **14 Oct 2025**, 12 launch partners (Adyen, Ant International, Checkout.com, Coinbase, Cybersource, Elavon, Fiserv, Microsoft, Nuvei, Shopify, Stripe, Worldpay).

TAP answers exactly one question, cryptographically: **is this agent legitimate?** The agent signs its HTTP request headers using **RFC 9421 HTTP Message Signatures** built on the **Web Bot Auth** standard. The merchant verifies the Ed25519 signature against a Visa-operated directory of registered agent public keys. Cloudflare enforces it at the edge for a large share of the web; it is also working with Mastercard and Amex on the same substrate.

> **THE CLEAN WAY TO HOLD VISA VS. MASTERCARD IN YOUR HEAD**
>
> **Visa TAP asks: "where did this agent come from — is it real?"** (identity / provenance). **Mastercard Agent Pay asks: "what is this agent trying to do — did the user actually say so?"** (intent / consent). They are two halves of one problem, and both networks are building the other half too.

Web Bot Auth — the underlying standard

Worth knowing on its own. It's an IETF-track approach for bots to cryptographically prove identity via signed HTTP headers, replacing the unauthenticated User-Agent string and IP allowlists that everyone knows are forgeable. This is the technical rebuttal to what Perplexity was accused of doing: under Web Bot Auth, an agent *can't* credibly pretend to be Chrome.

x402 — the crypto lane LIVE, DEMAND UNPROVEN

Author: Coinbase + x402 Foundation. Backers/participants include Cloudflare, Circle, Stripe, AWS. Google shipped an **A2A x402** extension with Coinbase, the Ethereum Foundation and MetaMask.

x402 resurrects the long-dormant **HTTP 402 "Payment Required"** status code:

```
Agent → GET /premium-data
Server → 402 Payment Required  { amount, asset, chain, payTo }
Agent → signs stablecoin tx, retries with payment proof in header
Server → verifies on-chain, returns 200 + the resource
                    ↓
   seconds · no account · no card · no chargeback · zero protocol fee
```

Why it's interesting: it makes true *micropayments* and machine-to-machine payments viable — an agent paying $0.004 for one API call. Card rails cannot do that economically.

> **READ THE X402 NUMBERS CAREFULLY — THIS IS A TRAP FOR THE UNWARY**
>
> The headline: 119M+ transactions on Base and 35M on Solana as of March 2026, ~$600M annualised, ~$7B ecosystem valuation. The footnote: on-chain analysis showed roughly **$28,000/day** in real volume, much of it testing and gamed transactions REPORTED.
>
> Both figures are "true." Transaction *count* is trivially inflatable when fees are zero. If you quote x402, quote the daily dollar volume, not the transaction count. This is the single most misleading statistic in the field.

The full protocol map

PROTOCOL	OWNER	Q IT ANSWERS	ONE-LINE FUNCTION	STATUS AUG 2026
MCP	Anthropic	—	Agent calls external tools/data	Ubiquitous substrate
A2A	Google	—	Agent negotiates with another agent	Live, foundational
ACP	OpenAI/Stripe/Meta	Q1,Q4	Standardised checkout session + delegated payment	Alive; flagship surface retired
UCP	Google/Shopify +8	Q1–Q5	Capability negotiation across full commerce lifecycle	Winning; 10-member council
AP2	Google +60	Q2,Q4	Signed mandate chain proving delegated authority	Live; UCP's delegated mode
Visa TAP	Visa/Cloudflare	Q3	Cryptographic agent identity in HTTP headers	Live at edge scale
Web Bot Auth	IETF-track/Cloudflare	Q3	Bots prove identity via signed headers	Underlies TAP
x402	Coinbase	Q4	HTTP-native stablecoin micropayments	Live; real demand thin

> **DRILL:** Someone says "AP2 competes with UCP." Correct that in one sentence. (It doesn't — AP2 is the cryptographic authorisation layer UCP invokes for its delegated commerce mode.)

08 Payments & identity mechanics

The rails, stripped of branding. Four vocabularies, one primitive.

The universal primitive: the scoped ephemeral credential

Every serious agent-payment design converges on a credential that is **bound to a merchant**, **capped at an amount**, **time-limited**, and **tied to an identified agent**. The card number never reaches the model. Learn the shape once; the brand names are skins on it.

VENDOR	THEIR NAME FOR IT	DISTINGUISHING DETAIL
Stripe / ACP	Shared Payment Token (SPT)	Single-seller, single-amount, minutes-long expiry. Merchant remains merchant of record.
Mastercard	Agentic Tokens	Extension of MDES. Binds tokenized credential to a *specific agent* + merchant scope + consent policy. Announced 29 Apr 2025.
Visa	Visa Intelligent Commerce tokenized credentials	Scoped permissions per agent — e.g. a travel agent gets a token valid only for that airline, that trip window.
Amex	Agentic commerce developer kit	Notable for the commercial promise: a stated commitment to cover erroneous purchases by *registered* agents REPORTED. First real liability signal.
Lithic / Marqeta / Stripe Issuing	Programmable virtual cards	The brute-force version: mint a real card number per agent/session with hard controls. Works on merchants that adopted no protocol at all.
Coinbase / x402	Stablecoin payment proof	No credential at all — a signed on-chain transfer. No chargebacks, which is both the feature and the flaw.

Agent identity: three stacked layers

1. **Is the agent software known?** → Web Bot Auth / RFC 9421 signed headers, verified against a network-operated key directory (Visa TAP).
2. **Is a specific human behind it?** → delegated authentication (ACP uses OAuth 2.0 so an agent can act as the buyer within the merchant's own account system) and agent-KYC startups (Nekuda, Prava).
3. **Did that human authorise *this* purchase?** → AP2 mandate chain / UCP delegated mode.

Most failures and most disputes trace to a missing layer 2 or 3 while layer 1 was satisfied. An agent can be perfectly authenticated and still be doing something the user never asked for.

Controls a merchant or issuer can actually set

- **Spend limit** — per transaction, per period
- **Merchant scope** — allowlist / category restriction
- **Time window** — token TTL and mandate expiry
- **Human-in-the-loop gate** — above $X, require approval
- **Category blocks** — age-restricted, regulated goods
- **Velocity rules** — N purchases per hour
- **Mandate revocation** — kill the delegation
- **Consent receipt** — durable record of what was approved

> **DRILL:** Describe the scoped ephemeral credential's four properties from memory, then name three brands' words for it.

09 Trust, fraud, liability, law

The least glamorous section and the one most likely to decide who wins. Skip it and you'll be the person in the room who only knows the demos.

Amazon v. Perplexity — the case that set the rules

- **4 Nov 2025:** Amazon sues Perplexity (N.D. Cal.), alleging its Comet browser agent made purchases on Amazon while **disguising itself as an ordinary Chrome session** to evade detection, and accessed customer accounts covertly.
- **10 Mar 2026:** Judge Maxine Chesney grants a preliminary injunction. Amazon found likely to succeed on the merits under the federal **Computer Fraud and Abuse Act** and California's **CDAFA** VERIFIED.
- Perplexity called it "a bully tactic" and argued consumers should be free to use any assistant they choose; it has asked the court to lift the ban.

> **THREE DOCTRINES THIS ESTABLISHES IN PRACTICE**
>
> 1. **Agent access is not a right.** A platform can lawfully exclude third-party agents from its site.
> 2. **Concealment is the aggravating fact.** The legal problem wasn't automation — it was impersonating a human browser. This is precisely why Web Bot Auth / TAP exist and why every serious player now signs its requests.
> 3. **Consent-first is now a moat.** Microsoft explicitly positioned Copilot Checkout around merchant consent, contrasting with the backlash Amazon's own "Buy for Me" drew from 180+ businesses over unauthorised scraping. Everyone learned the same lesson from opposite directions.

Liability: the structural gap

Traditional chargeback frameworks rest on one assumption: **a human made a decision.** Intent, authorisation and liability all reference what the cardholder chose. When an agent purchases autonomously, under delegated authority, within parameters set days earlier, with no explicit confirmation at the moment of the transaction — that assumption collapses, and the dispute system has no field for it.

QUESTION	WHERE IT STANDS, AUG 2026
US federal law on agent purchases	**None.** No legislation establishes a liability framework.
Consumer dispute rights	CFPB advisory (Jan 2026) under **Regulation Z**: dispute rights **survive delegation**; a mandate narrows them only where appropriately scoped and documented REPORTED.
Default loss-bearer	**The merchant** — chargebacks, refunds, support cost, inventory loss — unless a rail or wallet contract explicitly shifts it.
Voluntary liability shifts	Amex's commitment to cover erroneous purchases by registered agents is the notable early exception.
Evidence standard	Emerging: mandate chains and action logs as the new "proof of authorisation." Merchants who can't produce them will lose disputes.

Practical implication: the merchant-side deliverable is an **evidence pack** — signed mandate, agent identity, action log, consent receipt, delivery proof. Merchants who instrument this now win disputes that competitors lose.

Security: prompt injection is the unsolved problem

An LLM cannot structurally distinguish instructions from data — both arrive as natural-language text. In commerce that means a product description, review, or page element can carry hidden instructions that redirect an agent's behaviour.

- **Prompt injection** — hidden text hijacks the agent's instructions
- **Indirect injection** — the payload lives in content the agent *reads*, not what the user typed
- **Tool poisoning** — a malicious MCP tool returns misleading data
- **Data poisoning** — manipulating inputs that drive rankings or trust scores
- **Agent data injection** — active research area; demonstrated as realistic
- **Authorization propagation** — privilege leaking across multi-agent chains

Where it stands: OWASP research finds prompt injection still drives most agentic AI security failures in production, and OWASP researchers describe it as fundamentally unsolved. In May 2026 the **Five Eyes** agencies (CISA, NSA, UK, Canada, Australia, NZ) issued joint guidance on agentic AI naming prompt injection as a core attack path and stressing that no single safeguard suffices. A red team against a major US retailer's AI shopping assistant bypassed guardrails, exfiltrated customer data, and manipulated purchase flows REPORTED.

The commercial consequence: this is a hard ceiling on autonomy. You cannot responsibly give unsupervised spending authority to a system that can be talked out of its instructions by a product page. Layered mitigations — spend caps, merchant allowlists, human gates, signed carts — are the practical answer, and they are exactly the controls the protocols provide.

> **DRILL:** Why is prompt injection an *economic* problem and not just a security one? (Because it caps the autonomy level, which caps the transaction value, which caps the whole category's TAM.)

10 The business model war

Return to the dominant question: **who captures the margin when the buyer is a machine?**

The fee stack — the pricing experiment that failed

OpenAI charged Shopify merchants **4%** on ChatGPT checkout sales from late January 2026, on top of normal payment processing. Google (AI Mode, Gemini) and Microsoft (Copilot Checkout) charged **no additional platform fee**. One widely-circulated comparison puts all-in cost at roughly **3.2% via UCP vs. 7.2% via ACP** SOFT — treat the exact numbers as illustrative, but the *direction* is well-evidenced and it is a large part of why ACP's flagship surface lost.

The lesson: in a two-sided market where the other side is free, you cannot charge a double-digit-relative premium for a channel that converts worse. OpenAI tried to price a channel it hadn't yet proven.

Attribution collapse — the quiet crisis

The ~$13B US affiliate industry runs on cookies, clicks and last-touch attribution. Agents break all three: **they don't follow affiliate links, don't carry tracking cookies, and don't travel referral paths.** The classic ~14-click journey compresses to 1–2 interactions.

WHAT'S REPLACING IT

- **Platform transaction fees** — a % of GMV to the agent surface (OpenAI's 4%).
- **Outcome-based commissions** — CPA tied to new-customer acquisition or incremental sales rather than flat fees. Currently the most credible model; retail media budgets are shifting from impressions toward CPA/affiliate.
- **Data-source attribution** — crediting whoever *informed* the decision (a review, a comparison DB, an expert source). Turns publishers from traffic-drivers into decision-influencers. Structurally elegant; barely implemented.
- **Discovery / ranking fees** — merchants paying for favourable agent placement.
- **Micropayments per query** — the x402 lane; real, tiny.

> **THE FINDING THAT SHOULD SCARE EVERY RETAIL MEDIA EXECUTIVE**
>
> Research reported out of Columbia/Yale found that **sponsored tags reduce an agent's probability of selecting a product by 11–21%** across models REPORTED. Agents actively *penalise* paid placement, because they're optimising the user's stated goal, not the platform's yield. If that result holds, the $100B+ retail media playbook — sell placement, degrade relevance slightly, collect — does not port to agentic surfaces. The monetisation model has to become performance-based, not placement-based.

Who captures value — scorecard

PLAYER	POSITION	VERDICT
Agent surfaces (OpenAI, Google, MSFT, Meta)	Own demand and ranking. Google additionally owns the product-data substrate (Merchant Center) and the winning protocol.	Strongest hand — Google strongest of all
Card networks (Visa, MA, Amex)	Moved earliest; own identity + tokenization + the risk-pricing franchise.	Defended successfully. Agentic commerce runs on their rails.
PSPs (Stripe, Adyen, PayPal)	Neutral infrastructure across every protocol. Stripe co-authored ACP *and* joined UCP's council.	Wins either way
Commerce platforms (Shopify)	Co-authored UCP; auto-enrolls merchants into Copilot Checkout with opt-out. Distribution as leverage.	Very strong — the kingmaker
Large retailers (Walmart, Target, Amazon)	Have data to say no. Walmart's 3× conversion finding shaped the whole market. Amazon blocks third-party agents while running Rufus (~$12B incremental annualised sales, 2025).	Strong, if they hold the customer relationship
Long-tail merchants	Bear integration and feed-quality cost; gain reach; lose the customer relationship and the data.	Weakest — and most in need of a strategy
Affiliates / publishers	Attribution model actively breaking; no replacement standard yet.	Most disrupted

Market sizing — handle with tongs

Circulating figures: up to **$1T** in US B2C retail revenue by 2030 and **$3–5T** globally SOFT; eMarketer attributes ~**$20.9B** of 2026 US retail spending to AI platforms, ~4× 2025 REPORTED. The eMarketer figure is the one to use — it's near-term, bounded, and measurable. The trillion-dollar numbers assume autonomy levels that consumer research says don't exist.

B2B — the underrated half

B2B is structurally easier: buyers already have approved supplier lists, negotiated contracts, and existing relationships. The agent's job is *executing within* those agreements, not discovering strangers — which sidesteps most of the trust problem. Reported: ~20% of B2B sellers will face agent-led quote negotiation before end of 2026; a Fortune 500 CPG cut procurement cycle time from 6 weeks to 4 days on office and packaging supplies REPORTED. Seller readiness = machine-readable catalogs, authenticated pricing, API-driven quoting, real-time ERP data, human approval gates on both sides.

> **DRILL:** Explain in 30 seconds why retail media's core business model may not survive agentic surfaces.

11 Product & merchant playbook

What you'd actually do on Monday. Ordered by ROI, given what §12 says about where the value really is.

The three disciplines (and how they differ)

AEO — Answer Engine Optimization

Structure content so an AI can extract a direct, confident answer to a shopper question.

GEO — Generative Engine Optimization

Broadest: get surfaced and cited in generative recommendations across ChatGPT, Gemini, Perplexity, Copilot, Claude.

ACO — Agentic Commerce Optimization

The commerce-specific one: make products and *systems* findable, understandable, recommendable and **transactable** by agents. Includes feed quality, checkout readiness, returns data, accurate attributes, agent-facing policies.

Sequence matters: ACO without GEO means you're transactable but never recommended. GEO without ACO means you're recommended but the agent can't complete. Do the data work first — it serves both.

Priority 1 — Product data (highest ROI, and it's not close)

Adobe's own finding: AI traffic is surging while retail sites remain **not machine-readable**. That gap is the opportunity.

- **Google Merchant Center feed is now the primary product-data source for both Gemini and ChatGPT** REPORTED. If you fix one thing, fix this. One artefact, multiple surfaces.
- **Structured data:** schema.org Product markup, GS1 standards, correct GTIN/MPN/SKU, explicit variant modelling (size, colour, material).
- **Attribute completeness and confidence.** Agents filter on constraints ("waterproof," "under $150," "ships by Friday"). Every missing attribute is a filter you silently fail.
- **Freshness:** inventory and price freshness are ranking and trust inputs. Stale = the agent recommends and the purchase fails = the surface deprioritises you.
- **Machine-readable policies:** shipping, returns, cancellation, delivery promise. Agents weigh these explicitly, and they're a common source of post-purchase disputes.
- **Prevent hallucinated products** via product grounding — authoritative, retrievable data that contradicts invention.

Priority 2 — Be agent-addressable

- **Cheapest meaningful step:** stand up an **MCP server** exposing search, inventory, and cart. Low cost, works with any MCP-capable agent, no protocol commitment.
- **Protocol choice:** if you're on Shopify or selling via Google surfaces, **UCP** is the default. Add **ACP** only if a specific surface you care about requires it. Dual-protocol is increasingly standard for larger merchants.
- **Bot policy:** stop treating all automation as hostile. Allow *signed, identified* agents (Web Bot Auth / Visa TAP) and block unsigned ones. Blanket blocking now costs you demand; blanket allowing costs you security.
- **Delegated auth:** support OAuth-based agent access to customer accounts so loyalty, saved addresses and order history survive the agent hop.

Priority 3 — Instrument for the new dispute regime

Capture and retain, per agentic order: agent identity + signature, the mandate or consent artefact, the action log, the exact cart at approval, and delivery proof. This is your evidence pack. See §09.

Priority 4 — Measure the right things

METRIC	DEFINITION & WHY
Found rate	Share of tested prompts where an AI surfaces your brand at all. The top of the new funnel.
Recommendation rate	Share of shopping prompts where your product is actually recommended. Found ≠ recommended.
AI share of voice	Your share of AI answers vs. competitors on a defined query set. Reported benchmark: strong brands ≥15%; category leaders 25–30% SOFT .
Agent conversion rate	% of agent-led sessions ending in purchase. Compare against your own click-out baseline — that comparison is what killed Instant Checkout.
Feed error rate	% of SKUs with missing/invalid data. Direct, fixable revenue leak.
Catalog / attribute coverage	% of range in agent-readable form; % of required attributes present.

Tooling: Profound (from ~$499/mo self-serve), Adobe Brand Visibility (launched 17 Jun 2026; tracks 10 LLM families, share-of-voice vs. up to 5 competitors; enterprise, gated), Semrush AI Visibility Toolkit, Similarweb AI Brand Visibility, Conductor. Adobe also publishes quarterly AI traffic reports with retailer-level visibility data — free and genuinely useful.

> THE STRATEGIC POSTURE THAT MATCHES THE EVIDENCE
>
> **Optimise hard for discovery. Be selective about ceding checkout.** Discovery is where agent traffic is large, growing, and converting well. Checkout inside someone else's surface costs you the customer relationship, the login, the loyalty hook and the data — and, on the evidence to date, converts worse. Forrester's guidance is consistent: build machine advantage in your content and data, experiment with assistive AI on *your own* channels first, and align digital / IT / marketing / legal before you chase third-party surfaces.

> **DRILL:** Your CEO says "get us into ChatGPT checkout this quarter." Give the two-sentence counter-proposal.

12 Reality check: signal vs. hype

This is the section that separates people who read press releases from people who read outcomes. **Read it twice.**

The Instant Checkout retreat — the field's defining event

OpenAI launched Instant Checkout in September 2025 to enormous coverage. In March 2026 it retired buy-in-chat, roughly six months later.

WHAT WENT WRONG	EVIDENCE
Merchant onboarding failed	Fewer than **15** of Shopify's millions of merchants ever went live REPORTED
Conversion was worse, not better	Walmart measured in-chat checkout converting **~3× worse** than click-out to walmart.com
Commerce is harder than it looks	Accurate product data, multi-item carts, loyalty membership connection — all underestimated
Pricing was wrong	4% fee against competitors charging zero
Merchants didn't want it	Losing the customer relationship, login data and loyalty engagement was too expensive

The new model: *discovery in the AI, transaction on the merchant.* ChatGPT now prioritises product search and discovery; purchases route to connected apps (Instacart, Target, Expedia, Booking.com) or the merchant's own site. Of ~100 firms with ChatGPT apps, reportedly only Instacart supports checkout end-to-end inside the conversation.

What the honest data says

WORKING — STRONG EVIDENCE

- **AI-referred traffic:** +393% YoY in Q1 2026 (US retail); +693% YoY over the 2025 holidays.
- **Quality of that traffic:** 12% higher engagement, 48% longer per visit, 13% more pages, **37% higher revenue per visit**. Conversion swung from 38% *worse* than direct (Mar 2025) to 42% *better* (Mar 2026) — an ~80-point reversal in twelve months REPORTED.
- **Influence at scale:** Salesforce estimated AI influenced **>20%** of global online retail sales in the 2025 holiday season.
- **Owned assistants:** Amazon's Rufus drove ~**$12B** incremental annualised sales in 2025 VERIFIED (company earnings materials). Note: this is a *retailer-owned* assistant, not a third-party agent.

NOT WORKING — EQUALLY STRONG EVIDENCE

- **Autonomy:** Accenture's 2026 Consumer Pulse (25,590 consumers, 16 countries): 74% would let an agent handle routine tasks; **32%** would let it make the final purchase decision pre-payment; only **12%** would allow autonomous decisions at the payment stage.
- **Forrester, mid-2026:** "Very few consumers allow agents to complete tasks or purchases without direct oversight, and even fewer do so regularly." Native transactions inside answer engines remain minimal; most value comes from guidance and comparison.

- **Merchant infrastructure:** Adobe finds retail sites still aren't machine-readable. Conversion on agentic channels has been reported as far behind affiliate benchmarks SOFT .
- **Project mortality:** Gartner projects a large share of agentic AI/commerce projects will be cancelled by 2027 — commonly cited as ~40% REPORTED.
- **Crypto rails:** x402's real daily volume (~$28K) is a rounding error against its headline transaction counts.

Reconciling the contradiction

Both sets of numbers are correct, because they measure different stages:

```
INFLUENCE  ██████████████████████████████████  large, growing fast, converts well
EXECUTION  ███                                 small, contested, converts worse

The industry markets EXECUTION.  The money is in INFLUENCE.
```

Notice too that consumer-survey numbers vary wildly by question wording: "would you let AI shop for you?" gets ~69–74% yes; "would you let it complete payment unsupervised?" gets ~12%. Whenever you see a bullish adoption stat, **find out which question was asked.** That single habit will keep you right more often than any other in this field.

The five claims to treat as unproven

1. "Agents will autonomously buy groceries." — Forrester: hasn't happened, isn't close.
2. "Agentic commerce is a $1T market by 2030." — assumes autonomy that doesn't exist.
3. "Merchants must integrate checkout protocols now or die." — the leader just reversed; discovery readiness is the urgent work.
4. "Crypto rails are winning agent payments." — volume counts ≠ demand.
5. "One protocol will win outright." — UCP won governance; convergence on MCP transport is the likelier end state, and dual-protocol is the current practice.

> **DRILL:** Recite the Instant Checkout post-mortem: five causes, one resulting strategy. Then state the influence/execution distinction in one line.

13 What to watch next

Six leading indicators. Each is a falsifiable signal, not a vibe.

WATCH THIS	WHY IT'S THE SIGNAL	WHAT IT WOULD PROVE
Universal Cart's real conversion vs. click-out	It's the best-resourced attempt at in-surface checkout, from the party that owns the product data.	If it beats click-out, in-surface checkout is viable and OpenAI simply executed badly. If not, "discover in AI, buy on merchant" is the permanent architecture.
Whether a network writes agentic dispute rules	Liability is the gate on autonomy. Amex's coverage commitment is the first crack.	Formal rules = merchants can safely accept human-not-present agent orders. That's the unlock.
Human-not-present volume	UCP v0.2.0 and AP2 both support it. Nobody is using it at scale yet.	Real HNP volume is the only true proof that "agentic commerce" ≠ "conversational discovery."
ACP/UCP convergence or adapters	Stripe sits on both sides deliberately.	A shared MCP-based transport would end the protocol question and shift the fight to ranking.
Whether monetisation goes performance-based	The 11–21% sponsored-tag penalty finding, if it holds, breaks placement-based retail media.	A CPA-native ad model for agents would be a genuinely new, very large ad market.
Amazon's posture	It blocks third-party agents, won an injunction, runs Rufus — and joined the UCP Tech Council in April 2026.	Whether the largest US retailer opens to external agents on its own terms, or keeps agentic commerce inside its walls.

Three plausible 2027 end-states

1. **Discovery layer (most likely, ~55%).** Agents become the dominant top-of-funnel; checkout stays on merchant properties. Value accrues to whoever controls product data and ranking — i.e. Google. Merchants' urgent job is machine-readability, not checkout integration.
2. **Split by category (~30%).** In-surface checkout wins for replenishment, groceries, tickets and commodity goods (low consideration, high frequency); click-out persists for considered purchases, fashion and anything with loyalty attached. Instacart's early success points here.
3. **Full agentic (~15% by 2027).** Requires all three of: liability rules written, prompt injection materially mitigated, and consumer trust at payment moving from 12% to something like 40%. Any one of those failing blocks it. None looks close in August 2026.

Probabilities are my judgement from the evidence in this document, not a sourced forecast.

14 Glossary

Grouped, not alphabetised — Kwik's chunking principle. Six categories, ~10 terms each. Cover the right column and self-test.

PROTOCOLS & INFRASTRUCTURE

ACP
Agentic Commerce Protocol. OpenAI/Stripe/Meta. Checkout sessions + delegated payment.

UCP
Universal Commerce Protocol. Google/Shopify. Capability negotiation across the full commerce lifecycle.

AP2
Agent Payments Protocol. Google. Signed mandate chain proving delegated authority.

MCP
Model Context Protocol. Anthropic. Standard interface for agents to call tools and read data.

A2A
Agent2Agent. Google. Agent-to-agent negotiation and task delegation.

x402
Coinbase. HTTP 402-based stablecoin payments for agents and APIs.

Visa TAP
Trusted Agent Protocol. Cryptographic agent identity in signed HTTP headers.

Web Bot Auth
Standard letting bots prove identity via signed headers instead of User-Agent strings.

RFC 9421
HTTP Message Signatures. The IETF spec underneath TAP and Web Bot Auth.

ECP
Embedded Checkout Protocol. UCP's JSON-RPC 2.0 handoff when an agent must escalate to a human.

Capability negotiation
Agent and merchant publish profiles; the protocol computes their intersection.

PAYMENTS & CHECKOUT

Agentic payment
Transaction initiated by an agent under prior user consent and spending rules.

Shared Payment Token (SPT)
Stripe/ACP credential: single-seller, single-amount, minutes-long expiry.

Agentic Token
Mastercard's MDES extension binding a token to agent + merchant scope + consent policy.

Instant checkout
Completing a purchase inside the AI surface rather than the merchant site.

Merchant of record
The party legally selling. In ACP/UCP this stays the merchant, not the agent.

Delegate payment
Passing payment credentials through an agent without the agent holding card data.

Delegated authentication
OAuth-based mechanism letting an agent act as the buyer within a merchant account.

Human-present
User reviews and approves the exact cart before payment.

Human-not-present (HNP)
Agent executes later against pre-signed rules. The real autonomy frontier.

Payment handler
ACP framework (Jan 2026) abstracting how different payment methods are processed.

Universal Cart
Google's multi-retailer cart across Search, Gemini, YouTube and Gmail.

AUTHORITY, CONSENT & CONTROL

Mandate
A cryptographically signed record of what a user authorised.

Intent Mandate
Signed statement of the user's goal and constraints.

Cart Mandate
Signed lock on exact items, price, merchant and timestamp.

Payment Mandate
Credential binding the payment method to a specific Cart Mandate; what the network sees.

Verifiable Credential (VC)
Tamper-evident signed claim; the format mandates use.

Delegated authority
Permission a user grants an agent to act for them.

Spend limit
Cap an agent may transact without further approval.

HITL approval
Human-in-the-loop gate before a sensitive action.

Mandate revocation
Ending an agent's permission to act.

Consent receipt
Durable record of what the user approved — core dispute evidence.

Assisted vs. delegated mode
UCP's two commerce modes: human reviews vs. cryptographic pre-authorisation.

DISCOVERY & OPTIMISATION

ACO
Agentic Commerce Optimization. Making products and systems agent-readable and transactable.

AEO
Answer Engine Optimization. Structuring content for direct extraction into AI answers.

GEO
Generative Engine Optimization. Visibility and citation across generative AI surfaces.

Found rate
Share of tested prompts where AI surfaces your brand at all.

Recommendation rate
Share of shopping prompts where your product is actually recommended.

AI share of voice
Your share of AI answers vs. competitors across a query set.

Agentic shelf
The agent-mediated equivalent of shelf space — the slate an agent considers.

Product grounding
Recommendations resting on real retrievable data rather than model invention.

Hallucinated product
A product an AI invents or misstates. A live merchant risk.

Merchant ranking
Order in which sellers of the same item are presented by an agent.

PRODUCT DATA & OPS

Product feed
Structured file of what you sell: titles, prices, availability, attributes.

Merchant Center
Google's feed system — now the primary product-data source for Gemini and ChatGPT.

GTIN / MPN / SKU
Global trade item number / manufacturer part number / your internal identifier.

schema.org / GS1
The two structured-data vocabularies agents actually read.

Attribute completeness
Share of expected product attributes actually present.

Inventory / price freshness
How current your stock and pricing data is. A ranking and trust input.

Delivery promise
Stated delivery date or window — a common agent filter.

Feed error rate
Share of SKUs with missing or invalid data.

Catalog coverage
Share of your range available in agent-readable form.

PIM
Product Information Management system (Salsify, Akeneo, Syndigo). Where feed quality is won.

RISK, SECURITY & MEASUREMENT

Prompt injection
Hidden text causing an agent to follow an attacker's instructions. Structurally unsolved.

Indirect injection
Payload embedded in content the agent reads, not what the user typed.

Tool poisoning
A malicious tool/MCP server feeding an agent misleading data.

Data poisoning
Manipulating inputs that drive rankings or trust scores.

Guardrail
Rule limiting what an agent may do.

Action log
Record of every step an agent took. Dispute evidence.

Audit log
What happened, when, who caused it, what data informed the decision.

Agent conversion rate
% of agent-led sessions ending in purchase.

CFAA
Computer Fraud and Abuse Act. The statute Amazon used against Perplexity.

Regulation Z
US credit-billing rules; CFPB held dispute rights survive delegation to an agent.

Evidence pack
Mandate + agent identity + action log + approved cart + delivery proof.

15 Resource library

Ordered by signal quality. Kwik's rule: go to primary sources for the model, secondary for the narrative. Roughly 70% of agentic-commerce content online is vendor marketing — the list below is filtered.

Tier 1 — Primary specifications (read the actual specs)

- **ACP repository & OpenAPI specs** — github.com/agentic-commerce-protocol. Start with `rfcs/` for design rationale, then `spec/2026-04-17/openapi/`. The RFCs are the best-written explanation of *why* agentic checkout is hard.
- **ACP site** — agenticcommerce.dev
- **Stripe ACP docs** — docs.stripe.com/agentic-commerce/acp. Most practical implementation guide in the field.
- **Shopify Engineering: Building UCP** — shopify.engineering/ucp. **Best single technical document in agentic commerce.** Read it twice.
- **Google: Under the Hood — UCP** — developers.googleblog.com
- **AP2 announcement + spec** — Google Cloud blog · repo at `goo.gle/ap2`
- **Visa Trusted Agent Protocol** — developer.visa.com · Visa Intelligent Commerce
- **Cloudflare: Securing agentic commerce** — blog.cloudflare.com/secure-agentic-commerce. The clearest explanation of Web Bot Auth in practice.
- **x402** — Coinbase developer platform
- **MCP** — modelcontextprotocol.io

Tier 2 — Data & independent analysis

- **Adobe Digital Insights AI traffic reports** (quarterly) — business.adobe.com/blog. The most-cited hard numbers in the field. Free.
- **Forrester: The State Of Agentic Commerce In Mid-2026** — forrester.com/blogs · and "What It Means That The Leader Just Pulled Back". The best sceptical counterweight.
- **Accenture Consumer Pulse 2026** (25,590 consumers, 16 countries) — the definitive trust dataset. Coverage: artificialintelligence-news.com
- **CNBC on OpenAI's shopping revamp** — 24 Mar 2026 · 20 Mar 2026
- **Jason Goldberg (Forbes)** — "Why OpenAI's Checkout Retreat Spells Trouble". Goldberg is the most reliably clear-eyed retail-tech commentator; his *Jason & Scot Show* podcast is the best audio source in this space.
- **CoinDesk on x402 demand** — 11 Mar 2026. The article that punctures the crypto-rails narrative.
- **Amazon v. Perplexity coverage** — GeekWire · CNBC
- **OWASP / Five Eyes agentic AI security guidance** — Help Net Security summary. For the underlying research, arXiv is where the real work is.

Tier 3 — Orientation & tracking

- **awesome-agentic-commerce** — github.com/MentionNetwork/awesome-agentic-commerce. Curated list of protocols, MCP servers, tools, APIs. Best free tracker.
- **Productsup Agentic Commerce Tracker** — productsup.com — who supports what, updated.
- **Agentic commerce glossary (110+ terms)** — mohammedshehu.com — superset of §14 if you want more.

- **Stellagent landscape map** — stellagent.ai SOFT — vendor-adjacent, but the taxonomy is useful.
- **Ken Huang: "UCP Just Won Agentic Commerce"** — kenhuangus.substack.com — the sharpest ACP-vs-UCP strategic analysis published.

Learning method — Jim Kwik sources

- ***Limitless* (Expanded Edition)** — the FASTER method, the Mindset × Motivation × Methods model, MOM, and the state/primacy-recency material. Chapters on learning method are the relevant ones.
- **Kwik's FASTER explainer** — jimkwik.com · Big Think version
- **Kwik Brain podcast, ep. 001** — "Learn Anything Faster" — 15 minutes, the whole method.
- **Complementary:** Barbara Oakley's *Learning How to Learn* (Coursera, free) for the spaced-repetition and interleaving science underneath Kwik's "R."

> **A FILTERING HEURISTIC FOR THIS FIELD**
>
> Content quality correlates almost perfectly with whether the author is selling agentic-commerce readiness services. Before trusting a statistic, check: (a) who funded it, (b) what question consumers were actually asked, (c) whether "influence" is being counted as "transaction." Those three checks will catch most of the bad numbers in circulation.

16 Active recall & spaced repetition

Kwik's "R." Rereading feels like learning and isn't. **Retrieval** is learning. Close the document and answer these out loud. Struggling to recall *is* the mechanism — don't shortcut it by peeking.

Session 1 — today, immediately after Pass 2 (10 min)

> **Foundations**
>
> 1. Define agentic commerce in one sentence.
> 2. Name the five questions every agentic transaction must answer.
> 3. Name the seven layers of the stack, bottom to top.
> 4. What does MCP do that A2A doesn't, and vice versa?
> 5. Who authored ACP? Who authored UCP? Give the launch dates.
> 6. Name the three AP2 mandates in order and what each prevents.
> 7. What are the three properties of a Shared Payment Token?
> 8. What exact question does Visa TAP answer, and with what technology?

Session 2 — +1 day (10 min)

> **Mechanism and strategy**
>
> 1. Explain the difference between human-present and human-not-present, and why it's the key frontier.
> 2. Give the five reasons Instant Checkout was retired.
> 3. What single design decision best explains why UCP attracted a ten-member coalition?
> 4. Why did Stripe join UCP's Tech Council without abandoning ACP?
> 5. What did Amazon v. Perplexity actually establish? What was the aggravating fact?
> 6. Why does prompt injection cap the market size?
> 7. What are the 12% / 32% / 74% figures from Accenture, and what makes them different?
> 8. Why is the x402 transaction count misleading?

Session 3 — +7 days (12 min)

> **Application — answer as if advising a client**
>
> 1. A mid-size DTC brand asks where to spend $100K on agentic readiness. Allocate it and justify.
> 2. Argue the case *for* integrating checkout protocols. Now argue against. Which is stronger and why?
> 3. Design the evidence pack a merchant should capture per agentic order.
> 4. You're a retail media exec. The sponsored-tag penalty finding holds. What's your new model?
> 5. Explain to a CFO why AI traffic converting 42% better and agentic commerce being overhyped are both true.
> 6. Which of the three 2027 end-states do you believe, and what evidence would change your mind?

Session 4 — +21 days (8 min)

> **Refresh and update**
>
> 1. Redo Session 1 from memory. Note only what you lost.
> 2. Check the six indicators in §13. Which have moved? Update your view accordingly.

THE TEACH-BACK — DO THIS WITHIN 48 HOURS

Kwik: *when you teach, you learn twice.* Find one person and deliver this in five minutes, no notes. If you can do it cleanly, you know the field.

1. **The setup (45s).** E-commerce assumed a human with eyes, a cursor, a cookie and a card. AI agents break all four at once. That breakage is a whole industry.
2. **The five questions (60s).** Find, Intent, Trust, Pay, Fix — and what's solved (pay, trust) vs. unsolved (intent at scale, recourse).
3. **The protocol war (75s).** OpenAI/Stripe's ACP launched first and narrow. Google/Shopify's UCP launched later and broader — and won by taking the governance layer: by April 2026 Amazon, Meta, Microsoft, Salesforce and *Stripe itself* had joined its council.
4. **The plot twist (75s).** In March 2026 OpenAI retired buy-in-chat. Fewer than 15 Shopify merchants had gone live; Walmart measured it converting three times worse than click-out. The model became "discover in the AI, buy on the merchant."
5. **The punchline (45s).** The infrastructure is built and mostly free. The scarce assets are consumer trust at the payment moment (12%), the customer relationship, and the right to be recommended. Optimise for discovery; be very careful about ceding checkout.

YOUR DOMINANT QUESTION, ONE MORE TIME

"Who captures the margin when the buyer is a machine?"

Every announcement you read from here is a move in that game. You now have the board.